

# Daily Need to Know

Tuesday, 18 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

## 1 Market snapshot — the close, and where it is trading now

| ASSET                  | LAST        | CHANGE   | NOTE                                                                                                                                       |
|------------------------|-------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------|
| S&P 500                | 7,745.06    | ▼ -0.52% | Settled. Opened at <b>7,790.68</b> — which was the session high — and closed <b>0.18</b> off the low. Textbook distribution.               |
| Nasdaq Composite       | 26,644.91   | ▼ -0.32% | Closed 18.5 off its low. Held up only because semis carried it; software and platforms did not.                                            |
| Dow Jones              | 53,459.78   | ▼ -0.51% | Open 53,663.11 was the high. 268-point range, closed in the bottom 24% of it.                                                              |
| Russell 2000           | 3,057.54    | ▼ -0.35% | Closed at an all-time high <i>Friday</i> ; gave part back. Day high 3,068.42 sat 1.2 under the 52-week high.                               |
| Philadelphia SOX       | 12,620.99   | ▲ +1.64% | <b>The exception.</b> Up 204 points on a red tape, and still 13.9% below its 52-week high after a 20% drawdown over the past month.        |
| ES (E-mini S&P)        | 7,768.75    | ▼ -0.46% | LIVE 06:07. Globex reopened 06:00 GMT+8; volume 934.7k vs 1,088k 10-day average.                                                           |
| NQ (E-mini Nasdaq-100) | 30,096.00   | ▼ -0.15% | LIVE 06:07. Session low 30,054.5; the shallowest decline of the four.                                                                      |
| YM (E-mini Dow)        | 53,544      | ▼ -0.49% | LIVE 06:07. Tracking cash almost exactly — no overnight repair.                                                                            |
| RTY (E-mini Russell)   | 3,064.90    | ▼ -0.33% | LIVE 06:07. Session high 3,079.9 is the 52-week high; small caps keep failing at the same level.                                           |
| US 10-year             | 4.726%      | ▲ +3.4bp | LIVE. <b>96.7% of Hedgeye's 4.61–4.73 band</b> — 0.4bp from the ceiling. 52-week high 4.745%.                                              |
| US 30-year             | 5.311%      | ▲ +5.0bp | LIVE. Day high <b>5.318%</b> is the 52-week high and, per CNBC, the highest since <b>June 2007</b> .                                       |
| US 5-year              | 4.378%      | ▲ +1.6bp | LIVE. Belly lagged the long end — this was a term-premium move, not a Fed repricing.                                                       |
| US 13-week bill        | 3.790%      | ◆ flat   | LIVE. Unchanged on the day while the 30-year rose 5bp. The whole move was at the back.                                                     |
| WTI crude (CL1!)       | \$84.50     | ▲ +2.55% | LIVE. 83.9% of Hedgeye's 75.25–86.28 band. Hedgeye's instruction on WTI is explicitly to do nothing.                                       |
| Brent (BZ1!)           | \$90.87     | ▲ +2.65% | LIVE. Through <b>\$90</b> . Day high 91.19.                                                                                                |
| Natural gas (NG1!)     | \$2.690     | ▼ -1.57% | LIVE. The one commodity going the other way; 58.1% of a band Hedgeye has <b>bearish</b> .                                                  |
| RBOB gasoline (RB1!)   | \$2.9776    | ▲ +2.52% | LIVE. Moved with crude — the crack held, so this is crude-driven, not refining.                                                            |
| Gold (spot)            | \$4,415.26  | ◆ -0.01% | LIVE. Flat on the day. <b>75.8%</b> of the 4203–4483 band <i>measured on spot</i> ; the December future reads 96.7%.                       |
| Silver (spot)          | \$65.7415   | ◆ -0.04% | LIVE. 62.4% of band. Hedgeye upgraded silver <b>neutral</b> → <b>bullish</b> overnight and lifted the floor 58 → 62.                       |
| Copper (spot)          | \$6.5628    | ◆ -0.06% | LIVE. Hedgeye called copper at all-time highs Monday morning; by the settle spot was <b>18.0%</b> of band and 3.6% under its 52-week high. |
| US Dollar Index        | 99.58       | ▼ -0.06% | LIVE. 39.1% of a band Hedgeye has <b>bearish</b> . Session low 99.294.                                                                     |
| USD/JPY                | 159.458     | ◆ -0.01% | LIVE. Did nothing while the US long end sold off — unusual, and worth watching at the Tokyo open.                                          |
| USD/KRW                | 1,415.20    | ▲ -0.10% | LIVE (won firmer). Low 1,408.48. Korea reopens into a +155% YoY semiconductor export print.                                                |
| VIX                    | 15.18       | ▲ +6.45% | LIVE. Bid, but only 54.0% of its band. A 6.5% VIX pop on a 0.52% index decline is hedging, not stress.                                     |
| Bitcoin                | \$64,280.44 | ▲ +2.31% | LIVE, continuous. Rallied while equities fell — and is still <b>49.1%</b> below its 52-week high of 126,230.                               |

Colour key: ▲ green = higher · ▼ red = lower · ◆ amber = flat or mixed. Direction glyphs follow the price, not the yield: rising yields carry ▲ but are shown in red because they are a tightening of financial conditions. Cash equities are the **settled** Monday 17 August close. Futures, FX, metals, energy and crypto are **LIVE**, captured 06:07:22–06:07:25 GMT+8. Reconciliation: the settled closes for the S&P 500, Nasdaq Composite and Dow tie exactly to the prior-close arithmetic implied by Friday's published closes (7,785.76 / 26,729.16 / 53,732.41) and are independently corroborated by CNBC's -0.5% / -0.3% / -0.5% session report. Full detail in section 18.

TL;DR

All three major indices opened at their session high and closed on their low. The S&P 500's open of 7,790.68 was the high of the day, and it settled 0.18 of a point above the low. The Dow did the same thing. That is a distribution pattern, not a continuation pattern, and it happened on the day Hedgeye cut net equity exposure.

The tape did not fall evenly — it rotated violently. PHLX Semiconductor +1.64% against consumer staples -1.64% and communication services -1.89%. SanDisk +8.88%, Applied Materials +5.55%, Western Digital +5.35% and Micron +4.13% — while Meta fell 3.54% and

Microsoft **3.04%**. The DRAM shortage is the same number on both sides of that ledger: revenue for the memory makers, cost of goods for the hyperscalers.

**The long end is where the damage is.** The 30-year touched 5.318%, its highest since June 2007; TLT and LQD both closed at 52-week lows; the 13-week bill did not move at all. This was term premium, not a Fed repricing — and the 10-year now sits 0.4bp from the top of Hedgeye's band.

**Brent went through \$90** after the US–Iran memorandum of understanding expired on Monday and President Trump said he does not see the war ending soon. Energy was the only sector up more than 1%.

## 2 The big picture — what it means

1. **Opening at the high and closing at the low is the whole story, and it is worse than the 0.52% headline.** The S&P 500 traded a 45.80-point range and spent the session grinding down through it. The Dow's open of 53,663.11 was its high; it closed 64.55 off the low of a 268-point range. When an index prints its high in the first minutes and its low in the last, the marginal seller is patient and size-constrained — that is what distribution looks like on a tape. Two sessions earlier the Russell 2000 and the equal-weight S&P had both closed at all-time highs.
2. **The memory shortage has stopped being a semiconductor story and become a capital-allocation story.** Memory will absorb roughly **30%** of hyperscaler AI data-centre spending in calendar 2026, against about 8% in 2023 and 2024, and up to 70% of global memory output is going into AI data centres. Amazon has attributed a **\$20bn** capex increase to memory prices rather than to added capacity. So Monday's split is arithmetic, not sentiment: SanDisk +8.88% and Micron +4.13% are the counterparty to Meta's free cash flow collapsing to **\$784m** with buybacks frozen for a third straight quarter. One tape, one input cost, opposite signs.
3. **The bond move was entirely at the back end, which makes it a term-premium event rather than a policy event.** The 13-week bill was unchanged at 3.790%. The 2-year rose 1.1bp. The 5-year rose 1.6bp. The 10-year rose 3.4bp and the 30-year rose 5.0bp to a level last seen in June 2007. A curve that steepens from the long end while the front end sits still is not pricing a hawkish Fed — it is pricing supply, inflation risk and the oil price. The MOVE index jumped **8.70%** to 75.63, having opened at 69.58.
4. **Hedgeye was already positioned for the steepening and had already cut equity risk — a day early, which is the useful kind of early.** On Monday's Macro Show, McCullough moved from roughly eight longs and no shorts to **four longs and three shorts**, after flagging that the equal-weight S&P and the Russell had made their all-time highs on decelerating volume with only 0.5–0.9% of upside left inside their risk ranges. The equal-weight S&P then fell **0.89%** on Monday, worse than the cap-weighted index. A week earlier he had been at zero shorts.
5. **Breadth deteriorated faster than the index, and that gap is the number to carry forward.** The equal-weight S&P fell 0.89% against the cap-weighted 0.52% — a 37bp spread in one session. The NYSE Composite fell 0.42%. Nine of eleven SPDR sectors closed lower. The index was held up by a handful of semiconductor names; strip those out and Monday was materially uglier than the headline admits.
6. **Oil is now trading as a shipping-risk instrument, not a demand signal.** WTI +2.55% and Brent +2.65% came on the expiry of the US–Iran memorandum of understanding and Trump's comment that he does not see the war ending soon — against a backdrop in which the Strait of Hormuz has been largely blocked since February. Reading this crude strength as evidence of global demand would be a category error. Hedgeye has WTI **neutral** TREND and its instruction is to do nothing until the signal changes.
7. **Crypto decoupled, and the level matters more than the move.** Bitcoin rose 2.31% to 64,280 while equities fell — but it remains **49.1%** below its 52-week high of 126,230, and Hedgeye has it below both TRADE and TREND, is not long it, and exited Ethereum outright. A 2.3% bounce inside a halving of price is not a signal; it is noise with a large denominator.

## 3 Rates, currencies & commodities

- **The curve made another cycle high in steepness.** 10s2s closed at **54.4bp** (10-year 4.726% less 2-year 4.182%), widening a further 2.3bp on the session as the long end did all the work. Hedgeye is positioned for this through IVOL and, per its summary notes, looks for roughly +75bp in a Quad 1 or 2 environment.
- **Duration is at 52-week lows, and so is investment-grade credit.** TLT closed 81.35 against a 52-week low of 81.31; LQD closed 105.70 against a 52-week low of 105.67 — three cents. LQD sits at **8.3%** of a risk range Hedgeye explicitly marks **bearish**. High yield was comparatively calm at -0.13%, so this is a rates problem presenting as a credit problem, not the reverse.
- **Bond volatility is the tell.** MOVE +8.70% to 75.63, opening 69.58 and closing at its session high. Equity vol rose too — VIX +6.45% to 15.18 — but from a base that leaves it at just 54% of its band. The bond market is repricing risk faster than the equity market is.
- **The dollar did almost nothing, which is itself the point.** DXY -0.06% to 99.58, at 39.1% of a band Hedgeye has bearish. Short dollar remains Hedgeye's stated number-one macro factor, with long yen, euro and gold as the expressions; gold's trending inverse correlation to the dollar is cited at **-0.93**.

- **Asian FX quietly firmed against a soft dollar.** USD/TWD −0.42% was the largest move in the complex — the Taiwan dollar strengthening alongside the semiconductor bid. USD/KRW −0.10% to 1,415.20 with a low of 1,408.48. USD/CNH at 6.74199 is within a whisker of its 52-week low of 6.7376, i.e. the yuan is close to its strongest in a year.
- **Energy up, everything else in commodities flat.** Crude and gasoline rallied 2.5%; natural gas fell 1.57%. Gold, silver and copper all closed within 0.1% of unchanged *in spot terms* even as their futures printed gains of 0.8%, 1.7% and 0.05% — a divergence large enough to change the risk-range reading materially, and the reason section 4 measures on the series Hedgeye actually names.
- **Copper is the inconvenient one.** Hedgeye's Early Look led with copper "ripping all-time highs"; copper futures did trade up to 6.7415 intraday and then gave it all back to close +0.05%, with spot *down* 0.06% at 6.5628 — 3.6% below its own 52-week high and only 18.0% of the way up its band. The call and the settle do not agree, and the settle is what you own.

#### 4 Hedgeye — regime, risk ranges & the Quad path

| DASHBOARD              | READING                        | DETAIL                                                                                                                           |
|------------------------|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Monthly Quad path      | 3 → 1 → 2                      | Unchanged from Friday. The shift <i>out of</i> July's Quad 4 is the organising idea of the whole book.                           |
| #1 macro factor        | Short US Dollar                | Expressed long yen (FXV), euro (FXE), gold (GLD) vs short UUP. Gold carries the strongest trending inverse correlation at −0.93. |
| Equity net exposure    | 4 longs / 3 shorts             | Cut Monday from roughly 8 longs / 0 shorts. A week earlier he was at zero shorts in Real-Time Alerts.                            |
| Curve                  | Steeper (IVOL)                 | 10s2s at 54.4bp and a new cycle high in steepness. Target cited around +75bp in Quad 1 or 2.                                     |
| Commodities            | Bullish TRADE and TREND        | CRB +2.8% last week; WTI +5.4% back to bullish TRADE, neutral TREND; corn +4.6%. Lumber (WOOD) added.                            |
| Crypto                 | Bitcoin below TRADE and TREND  | Explicitly <i>not long</i> rather than short. Ethereum exited outright, awaiting a signal to re-enter.                           |
| Country positioning    | Qatar (QAT) only short         | South Korea back to bullish TRADE but described as an extreme bubble; China moved to bullish TRADE Monday.                       |
| ETF Pro adds           | LVHI, ICOP                     | Both added long Monday 22:48 GMT+8 — international high dividend and metals mining. Both are weak-dollar expressions.            |
| Signal Strength Stocks | 89 names (15 added, 1 removed) | Added include SOFI, AFRM, NFLX, DELL, ONTO, EMR, TSCO. Removed VSXY.                                                             |

Sourced from the Early Look (Mon 17 Aug, 19:42 GMT+8), The Macro Show summary notes (22:04), ETF Pro Plus (22:48) and Signal Strength Stocks (Tue 00:12 GMT+8). Feed timestamps are ET; US daylight time applies, so GMT+8 = ET + 12h.

| INSTRUMENT         | IMMEDIATE-TERM RANGE | TREND   | WHERE IT STANDS     | POSITION IN BAND & HOW THE BAND MOVED                                                                        |
|--------------------|----------------------|---------|---------------------|--------------------------------------------------------------------------------------------------------------|
| 10-yr UST yield    | 4.61–4.73            | bullish | 4.726               | <b>96.7%</b> — 0.4bp from the ceiling. Band narrowed 1bp at both ends vs Friday's 4.60–4.74.                 |
| High Yield (HYG)   | 79.36–79.81          | bullish | 79.61               | 55.6% — mid-band. Whole band shifted <b>down</b> (−0.07 floor, −0.17 ceiling).                               |
| Inv. Grade (LQD)   | 105.6–106.8          | bearish | 105.70              | <b>8.3%</b> — 10 cents off the floor and 3 cents off a 52-week low. Band cut 0.10 at both ends.              |
| S&P 500            | 7674–7824            | bullish | 7,745.06            | 47.4% — dead centre. Band <b>narrowed 105 points</b> (255 → 150): floor up 68, ceiling down 37. Compression. |
| Nasdaq Composite   | 26049–26893          | bullish | 26,644.91           | 70.6%. Band narrowed 240 points (1084 → 844); floor up 141, ceiling down 99.                                 |
| Russell 2000       | 2997–3083            | bullish | 3,057.54            | 70.4%. Whole band lifted (+10 floor, +8 ceiling) after Friday's all-time high.                               |
| Health Care (XLV)  | 163–172              | bullish | 167.05              | 45.0%. Floor cut 1 point; ceiling unchanged. Widened slightly.                                               |
| Equal-weight (RSP) | 219.00–225.00        | bullish | 220.79              | 29.8% — and falling. Band <b>unchanged</b> from Friday. Fell 0.89% Monday, the worst of the broad gauges.    |
| Software (IGV)     | 99.00–108.00         | bullish | <i>not captured</i> | Ceiling cut 2 points (110 → 108). IGV was not in this morning's capture set — see KNOWN GAPS.                |
| VIX                | 13.76–16.39          | bearish | 15.18               | 54.0%. Band shifted down (floor −0.29). Even after a 6.45% pop, mid-band.                                    |
| US Dollar Index    | 99.24–100.11         | bearish | 99.58               | 39.1%. Band essentially unchanged, drifting 1–2 ticks lower.                                                 |

| INSTRUMENT          | IMMEDIATE-TERM RANGE | TREND          | WHERE IT STANDS | POSITION IN BAND & HOW THE BAND MOVED                                                                     |
|---------------------|----------------------|----------------|-----------------|-----------------------------------------------------------------------------------------------------------|
| WTI crude (cont.)   | 75.25–86.28          | neutral        | 84.50           | <b>83.9%</b> — pressing the ceiling. Whole band lifted (+0.89 floor, +0.29 ceiling).                      |
| Natural gas (cont.) | 2.51–2.82            | bearish        | 2.690           | 58.1%. Band shifted down at both ends.                                                                    |
| Gold (spot)         | 4203–4483            | bullish        | 4,415.26        | <b>75.8% on spot</b> . On the futures it would read 96.7% — a 20.9pt error. Ceiling cut 41 (4524 → 4483). |
| Copper (spot)       | 6.50–6.85            | bullish        | 6.5628          | <b>18.0% on spot</b> (33.1% on futures). Band lifted at both ends, but price sits near the floor.         |
| Silver (spot)       | 62–68                | <b>bullish</b> | 65.7415         | 62.4%. <b>The one signal change:</b> neutral → bullish, floor lifted 58 → 62.                             |

Risk Range™ Signals as published in the Early Look of Monday 17 August, 07:42 EDT (19:42 GMT+8) — the live set until tonight’s edition supersedes it at roughly 19:40 GMT+8. Band-movement column compares against the Early Look of Friday 14 August, 08:10 EDT. Metals are measured on **spot** (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD) and energy on the **continuous contract** (NYMEX:CL1!, NYMEX:NG1!), matching the series Hedgeye names in each line. Equity, credit and volatility levels are Monday’s settled closes; yield, FX, metals and energy are live at 06:07 GMT+8.

What Keith actually said.

- “Dr. Copper is ripping all-time highs (ATHs) this morning after reflatng +3.4% in the last month”

Keith McCullough, Early Look — “Quad Shift Breakouts & ATHs”, Mon 17 Aug 2026, 19:42 GMT+8 (07:42 EDT)
- “You don’t need to be a fractal mathematician to subtract the 2-year Yield from the 10-year Yield and see a new Cycle High in the steepness of The Curve during this Quad Shift. You don’t need to ‘feel’ it either. You just need to position for it.”

Keith McCullough, Early Look, Mon 17 Aug 2026, 19:42 GMT+8
- “Of those 4 positions (if you don’t have a FX trading account, in ETF terms we’re Short UUP vs. Long FXY, FXE, GLD), the one with the strongest TRENDING (3-months or more) INVERSE Correlation is Gold at -0.93.”

Keith McCullough, Early Look, Mon 17 Aug 2026, 19:42 GMT+8
- “WHEN I go to ZERO shorts in Real-Time Alerts (like I did Monday) remember there is Signal in that too.”

Keith McCullough, Early Look — “Quad Shift = ATHs”, Fri 14 Aug 2026, 20:10 GMT+8 (08:10 EDT). Carried here because it dates the starting point of this week’s de-grossing: zero shorts on 10 Aug, three shorts by 17 Aug.
- “QTUM & IGV in and XLRE & IAK out is a textbook Quad Shift.”

Keith McCullough, Early Look, Fri 14 Aug 2026, 20:10 GMT+8. XLRE then fell 0.97% on Monday.

The Macro Show positioning detail in the dashboard above is drawn from Hedgeye’s own summary notes, which carry the disclosure that they have been “enhanced by AI and may contain errors”. They are therefore treated as reported positioning, not as verbatim McCullough, and nothing from them is placed inside quotation marks here.

5 Mag7 scoreboard

| NAME           | LAST   | DAY      | CAP       | READ                                                                                                                                                                   |
|----------------|--------|----------|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| NVIDIA NVDA    | 225.01 | −0.07%   | \$5.445tn | Effectively unchanged on a day semis ripped 1.64% — the index leader sat the rally out. 4.9% below its 52-week high.                                                   |
| Apple AAPL     | 305.59 | −0.11%   | \$4.460tn | Quietest of the seven. Range 302.94–307.66, closed mid-range. No memory exposure to speak of, and it showed.                                                           |
| Alphabet GOOGL | 344.00 | −0.55%   | \$4.194tn | In line with the index. Down 15.8% from its 52-week high of 408.61.                                                                                                    |
| Microsoft MSFT | 480.35 | ▼ −3.04% | \$3.567tn | <b>Worst mega-cap bar Meta</b> . Opened 490.14, closed 478.41–492.66 range at the bottom. AI capex versus near-term margin, with memory the swing cost.                |
| Amazon AMZN    | 261.31 | −0.51%   | \$2.819tn | Faded a 265.51 pre-market print. Has attributed a \$20bn capex increase to memory prices rather than capacity.                                                         |
| Broadcom AVGO  | 392.43 | −0.14%   | \$1.867tn | Flat while the memory names ran — a reminder that “semis” was not one trade on Monday.                                                                                 |
| Meta META      | 568.97 | ▼ −3.54% | \$1.449tn | <b>The worst of the seven</b> . Trial of 29 state attorneys-general opened Monday; capex guided to \$130–145bn; free cash flow \$784m; buyback frozen a third quarter. |
| Tesla TSLA     | 339.30 | −0.87%   | \$1.340tn | Only 1.4% above its 52-week low of 297.38 — the only Mag7 name trading nearer its low than its high.                                                                   |

Settled Monday 17 August closes. Aggregate Mag7 capitalisation \$23.27tn. All seven closed lower — the group contributed nothing to the day, and the S&P’s 0.52% decline was cushioned only by semiconductors outside this table. Capitalisations are TradingView’s market\_cap\_basic and will differ marginally from float-adjusted index weights.

## 6 Positioning & options

- **The VIX pop was proportionate, not panicked.** +6.45% to 15.18 on a 0.52% index decline, with a session high of 15.47 and a low of 14.89. That leaves it at 54.0% of Hedgeye's 13.76–16.39 band, which Hedgeye marks bearish. Hedging demand, not a volatility event.
- **Bond volatility outran equity volatility.** MOVE +8.70% versus VIX +6.45%, and MOVE closed at its session high having opened near its low. When the rates market is repricing faster than the equity market, the equity market is usually the one that has to catch up.
- **Hedgeye de-grossed into strength and was right within a session.** Eight longs / no shorts to four longs / three shorts, taken after RSP and the Russell printed all-time highs on *decelerating* volume with 0.5–0.9% of range left. RSP then fell 0.89%. The stated logic was to preserve capacity to buy a pullback, not to call a top.
- **Futures volumes were below average across the board.** ES 934.7k against a 1,088k 10-day average; NQ 398.8k against 470.9k; YM 49.6k against 59.2k; RTY 112.6k against 119.7k. A distribution day on below-average volume is less damning than one on heavy volume — but it also means the selling was not absorbed by a large buyer.
- **Small caps keep failing at the same price.** RTY's overnight high of 3,079.9 is its 52-week high; the cash Russell's day high of 3,068.42 sat 1.2 points under its own. Three separate attempts at the same level in a week, with Hedgeye's ceiling at 3,083.
- **Positioning inside credit is the quiet risk.** LQD at 8.3% of a bearish band, three cents off a 52-week low, with high yield only 0.13% lower. Investment grade is longer duration than high yield, so this is duration doing the damage — but if the long end keeps going, the spread product follows.

## 7 Sector rotation — leaders & laggards

| SECTOR                  | DAY    | NOTE                                                                                                                  |
|-------------------------|--------|-----------------------------------------------------------------------------------------------------------------------|
| Energy XLE              | +1.08% | Only sector up more than 1%. Crude +2.55%, Brent through \$90.                                                        |
| Technology XLK          | +0.16% | The only other green sector, and only because of semis — MSFT within it fell 3.04%.                                   |
| Industrials XLI         | −0.10% | Best of the losers. Held its range; closed 186.18–187.39.                                                             |
| Health Care XLV         | −0.19% | Resilient. Hedgeye long XLV; sits at 45% of band. LLY +0.25%, JNJ +0.78%, UNH −1.52%.                                 |
| Utilities XLU           | −0.29% | Modest given a 5bp move at the long end; rate sensitivity did not bite here.                                          |
| Materials XLB           | −0.57% | Copper's intraday all-time high did not stick, and neither did the sector.                                            |
| Real Estate XLRE        | −0.97% | Rate-sensitive and it showed. Hedgeye sold all XLRE on Thursday.                                                      |
| Financials XLF          | −1.00% | Fell despite the steepener — 45.6m shares against a 27.6m 10-day average, the heaviest relative volume of the eleven. |
| Cons. Discretionary XLY | −1.23% | Ahead of Home Depot Tuesday and Walmart Thursday, with July retail sales having fallen 0.6%.                          |
| Cons. Staples XLP       | −1.64% | The defensive that did not defend. Volume 10.5m vs an 8.4m average.                                                   |
| Comm. Services XLC      | −1.89% | <b>Worst sector.</b> Meta −3.54% and Netflix −2.74% did it between them.                                              |

- **Leaders:** energy (+1.08%) and technology (+0.16%) — the only two green, and both for reasons external to the US consumer. Two of eleven advancing on a 0.52% down day is poor participation.
- **Laggards:** communication services (−1.89%), consumer staples (−1.64%) and consumer discretionary (−1.23%). Staples and discretionary falling together is unusual — they normally trade against each other — and it points at the consumer rather than at risk appetite.
- **The rotation was inside technology, not into it.** XLK closed +0.16% while Microsoft fell 3.04%; the SOX rose 1.64% while Broadcom fell 0.14% and AMD fell 1.63%. What worked was memory and equipment: SanDisk +8.88%, Applied Materials +5.55%, Western Digital +5.35%, Micron +4.13%. What did not work was anything that *buys* memory.
- **Defensives failed as a group.** Staples −1.64%, real estate −0.97%, utilities −0.29%. On a day when the index fell and the long end sold off, there was nowhere in the defensive complex to hide — which is what a term-premium shock does to equity sector logic.

## 8 Forward — futures & the week ahead

**The overnight tape has not repaired anything.** Globex reopened at 06:00 GMT+8, seven minutes before capture, so the futures below carry Monday's session with only the first prints of the new one on top. ES sits at **7,768.75**, down 0.46%; NQ at 30,096.00, down 0.15%; YM at 53,544, down 0.49%; RTY at 3,064.90, down 0.33%. Volumes ran below their 10-day averages across all four contracts. Nothing in the overnight session has taken back Monday's distribution, and nothing has extended it — Asia will open into a flat, thin continuation of a weak US close, with crude 2.5% higher and the US 30-year at a level it last held in 2007.



| DAY<br>(GMT+8)    | KEY EVENT                                                                                                                                                       |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Tue 18 Aug</b> | <b>Home Depot</b> Q2 before the US open (21:30 GMT+8 area). First read on big-ticket home improvement and professional contractor demand into a 5.311% 30-year. |
| <b>Tue 18 Aug</b> | Tonight's Hedgeye Early Look, roughly 19:40 GMT+8 — supersedes every risk range in section 4.                                                                   |
| <b>Wed 19 Aug</b> | <b>Target, Lowe's and TJX</b> before the open — the middle-income and value-seeking consumer.                                                                   |
| <b>Wed 19 Aug</b> | <b>July FOMC minutes</b> , 02:00 GMT+8 Thursday. The market wants the internal read on inflation with crude at \$84.                                            |
| <b>Thu 20 Aug</b> | <b>Walmart</b> Q2 before the open — the lower-income consumer and grocery inflation. The most important single print of the week.                               |
| <b>Thu 20 Aug</b> | Philadelphia Fed manufacturing index and weekly initial jobless claims, 20:30 GMT+8.                                                                            |
| <b>Fri 21 Aug</b> | <b>Powell's Jackson Hole keynote</b> — the week's main event, and the reason the long end matters more than usual.                                              |
| <b>Fri 21 Aug</b> | Preliminary August S&P Global manufacturing and services PMIs.                                                                                                  |

Earnings dates are as reported by Zacks, Yahoo Finance and Kalkine's week-ahead; company-confirmed timings were not separately verified this morning and should be treated as **unconfirmed** to the minute. Data releases follow the standard BLS/Census/Federal Reserve calendar.

## 9 Corporate news

- **SanDisk +8.88% to \$1,786.85**, the largest move in the S&P complex. The move follows its 13 August investor day, at which management set a target of 80% non-GAAP gross margin by fiscal 2030 and disclosed close to **\$94bn** of long-term strategic contracts. Day high 1,827.99; still 24.1% below its 52-week high.
- **Applied Materials +5.55%, Western Digital +5.35%, Micron +4.13%**. The proximate catalyst reported across outlets was Elon Musk publicly flagging a memory bottleneck, layered on a reported **155% year-on-year** jump in South Korean semiconductor exports in early August. The move was also mechanically a rebound: the PHLX Semiconductor index had fallen roughly 20% over the preceding month.
- **Meta -3.54%**. Two separate weights. The trial brought by **29 state attorneys-general**, alleging illegal collection of children's data and misleading statements on safety, opened on Monday. Separately, capital expenditure guidance of **\$130–145bn** against quarterly free cash flow of **\$784m**, with the buyback frozen for a third consecutive quarter.
- **Microsoft -3.04% to \$480.35**, its low of 478.41 the weakest print since the AI-capex debate reopened. Same mechanism as Meta: committed infrastructure spend meeting a memory bill that is rising faster than the compute it buys.
- **Oracle -2.57% to \$146.65**. Worth stating plainly because nobody leads with it: Oracle now trades **57.6% below** its 52-week high of 345.72. It is the largest peak-to-trough de-rating in the US large-cap AI complex and it is not being discussed in proportion to its size.
- **Workday -3.77%, Netflix -2.74%, AMD -1.63%, UnitedHealth -1.52%**. Netflix fell on the day Hedgeye *added* it to Signal Strength Stocks — a divergence between signal and tape worth carrying into tonight.
- **Cisco +1.09%, Intel +0.97%, Johnson & Johnson +0.78%, Eli Lilly +0.25%**. Thin green. Intel traded 88.3m shares against a 109.3m average, so the advance was not volume-backed.

## 10 Macro data

- **US retail sales, July — released Friday 14 August. Actual -0.6% month-on-month against a consensus of +0.1%**. A 0.7-point miss, the first decline since October 2025 and the largest since May 2025. Headline level \$763.6bn; up 5.0% year-on-year. Sampling error ±0.4pt, so the miss is outside the error band. Source: Census Bureau advance report.
- **The composition is softer than the headline**. Non-store retailers -2.2%, motor vehicles and parts -1.8%, gasoline stations -0.9%, electronics and appliances -0.5%. The non-store weakness is partly a calendar artefact — Amazon moved Prime Day from July into June this year, pulling spending forward — so the underlying consumer is not quite as weak as -2.2% implies. That caveat cuts both ways: it also means June was flattered.
- **This is the number sitting under Tuesday's Home Depot print and Thursday's Walmart print**. A 0.6% decline in July retail sales, gasoline at \$2.98 RBOB and a 30-year at 5.311% is an unhelpful combination for anything discretionary and big-ticket. Consumer discretionary fell 1.23% on Monday and staples fell 1.64%.
- **Nothing of consequence was released on Monday 17 August itself**. The session was driven by geopolitics and positioning, not by data. The next hard macro input is the July FOMC minutes on Wednesday, then Philadelphia Fed and jobless claims on Thursday, then the preliminary August PMIs on Friday alongside Jackson Hole.
- **Consensus figures for the week ahead were not separately captured this morning** and are therefore not printed. Where this brief cannot show consensus alongside actual, it shows neither — the miss is the story, and half of it is not worth printing.

## 11 Geopolitics

- ▲ **The US–Iran memorandum of understanding expired on Monday 17 August**, and President Trump said he does not see the war ending soon. Brent went through \$90 and WTI closed 2.55% higher at \$84.50. This was the proximate driver of the equity reversal into the afternoon, per CNBC's session report.
- ▼ **The Strait of Hormuz has been largely blocked since 28 February 2026**, when the United States and Israel began an air campaign against Iran. Iran has attacked merchant shipping, laid mines and sought to charge for passage — a claim the United States rejects. Roughly a quarter of seaborne crude and around a fifth of LNG moved through the strait in 2025, which is why the oil price is now a shipping-risk instrument rather than a demand gauge.
- ◆ **The United Arab Emirates has attributed attacks on two vessels linked to its state oil company to Iran**, following a strike on a tanker in the strait on Friday 15 August. Iran has not accepted responsibility for those specific attacks. Both the attribution and the denial are reported claims and are presented here as such, not as settled fact.
- ▲ **Energy was the only sector to gain more than 1%**, and RBOB gasoline rose 2.52%. If Hormuz risk persists into Friday, it collides directly with Powell at Jackson Hole and with a 30-year yield already at a 2007 high — an oil-driven inflation impulse is the least convenient backdrop for a dovish message.
- ◆ **Hedgeye's only outright country short is Qatar (QAT)**, which continued to move in its favour. Given Qatar's LNG exposure and the strait's role in gas as well as crude, that is a position with an obvious tie to this file, though Hedgeye frames it as a signal-driven short rather than a thematic one.

## 12 Overnight setup — what Asia opens into

| INSTRUMENT             | LIVE 06:07 GMT+8 | CHANGE  | DETAIL                                                                                     |
|------------------------|------------------|---------|--------------------------------------------------------------------------------------------|
| ES (E-mini S&P)        | 7,768.75         | −0.46%  | Volume 934,724 vs 1,087,778 10-day average — 14% light.                                    |
| NQ (E-mini Nasdaq-100) | 30,096.00        | −0.15%  | Volume 398,776 vs 470,860 — 15% light. Best relative performer.                            |
| YM (E-mini Dow)        | 53,544           | −0.49%  | Volume 49,626 vs 59,178 — 16% light.                                                       |
| RTY (E-mini Russell)   | 3,064.90         | −0.33%  | Volume 112,589 vs 119,734. High of 3,079.9 is the 52-week high.                            |
| USD/JPY                | 159.458          | −0.01%  | Flat despite a 5bp move in the US 30-year. The carry did not react.                        |
| USD/KRW                | 1,415.20         | −0.10%  | Won firmer; session low 1,408.48.                                                          |
| USD/TWD                | 31.7896          | −0.42%  | <b>Largest FX move in the complex.</b> Taiwan dollar firm alongside the semiconductor bid. |
| USD/CNH                | 6.74199          | −0.01%  | 6.7376 is the 52-week low — the yuan is within 0.1% of its strongest in a year.            |
| EUR/USD                | 1.15789          | −0.004% | Inert. Hedgeye long FXE as a dollar short expression.                                      |
| Gold (spot)            | \$4,415.26       | −0.01%  | 75.8% of band. Futures diverge +0.82%.                                                     |
| Silver (spot)          | \$65.7415        | −0.04%  | Newly bullish TREND at Hedgeye; 62.4% of band.                                             |
| Copper (spot)          | \$6.5628         | −0.06%  | 18.0% of band. LME-relevant for Korea and Japan industrials.                               |
| WTI (CL1!)             | \$84.50          | +2.55%  | 83.9% of band, pressing the ceiling.                                                       |
| Brent (BZ1!)           | \$90.87          | +2.65%  | Through \$90; day high 91.19.                                                              |
| Bitcoin                | \$64,280.44      | +2.31%  | Continuous. 49.1% below its 52-week high.                                                  |
| Ether                  | \$1,904.43       | +1.62%  | Continuous. 61.6% below its 52-week high. Hedgeye has exited Ethereum.                     |

- **The US tape hands Asia semiconductors and nothing else.** The SOX rose 1.64% while nine of eleven S&P sectors fell. Korea and Taiwan reopen into a memory bid driven by SanDisk +8.88%, Applied Materials +5.55%, Western Digital +5.35% and Micron +4.13% — and into a reported 155% year-on-year rise in Korean semiconductor exports in early August.
- **Where the previous Asian closes sat** — all *previous close*, not live: Nikkei 225 **69,220.03** (+0.74%), KOSPI **6,977.95** (+2.42%), Hang Seng **25,453.24** (+1.34%), Shanghai Composite **3,982.65** (+1.41%), ASX 200 **9,073.20** (−0.46%), Sensex **77,728.16** (−0.36%). Asia closed *up* on Monday and the US then closed down — so the region opens with a gap to close, not a gain to extend.
- **Korea is the one to watch, and it is a two-sided setup.** The KOSPI rose 2.42% on Monday and Hedgeye has South Korea back to bullish TRADE while explicitly calling the equity market an extreme bubble. It reopens into a strong memory tape and a firmer won. A gap up that fails would be more informative than one that holds.
- **Japan reprices the long end, not the equity index.** USD/JPY did not move overnight despite a 5bp rise in the US 30-year, which is anomalous. If the yen catches up at the Tokyo open, exporters carry it; if it does not, the question becomes what the JGB long end does with a 5.311% US 30-year for company.

- **The single instrument most likely to move: USD/JPY.** It is the only major that ignored a genuine term-premium shock in the US long end, Hedgeye holds long yen as a top position in its dollar short, and Tokyo is the first cash market to open. A move here would resolve the anomaly in one direction or the other before Europe sees anything.

### 13 AI watch

- **Memory is now roughly 30% of hyperscaler AI data-centre capital expenditure in calendar 2026**, against about 8% in 2023 and 2024 — a near four-fold increase in the share of the AI budget going to a single input. Up to 70% of global memory production is being absorbed by AI data centres.
- **Part of the AI capex boom is input-cost inflation rather than additional compute.** Amazon has attributed a \$20bn increase in capital expenditure to higher memory prices rather than to added capacity. That is a materially different statement from “we are buying more AI”, and it is the cleanest evidence yet that headline capex figures overstate the compute actually being deployed.
- **The big five — Microsoft, Alphabet, Amazon, Meta and Oracle — have committed to roughly \$660–690bn of 2026 capital expenditure**, close to double 2025. Goldman Sachs projects \$1.15tn across 2025–2027 against \$477bn over 2022–2024.
- **The shortage has no near-term relief.** Intel's chief executive Lip-Bu Tan is quoted saying there is no relief until 2028; analyst and executive timelines converge on the shortage persisting through 2026 and into 2027. NVIDIA is reported to receive preferential supply terms well below standard market rates — which, if accurate, means the cost is being borne disproportionately by everyone else.
- **DRAM price estimates diverge widely and the brief will not pretend otherwise.** One source puts the rise at more than 400% from the start of 2024 to the end of 2026; reporting on Meta cites a near-700% surge. Those are not reconcilable without knowing the contract type, product mix and base date, and no primary price series was captured this morning. Treat the direction as certain and the magnitude as unverified.
- **This is the read-through to Monday's tape.** The memory complex rose 4–9% and the two largest buyers of memory fell 3–3.5%. That is the AI trade splitting along the supply chain rather than rising or falling as a bloc, and it is the most investable structural change visible in this session.

### 14 Beyond the markets

- **Bitcoin has halved and almost nobody is leading with it.** At \$64,280 it sits **49.1%** below its 52-week high of \$126,230; Ether at \$1,904 is **61.6%** below its high of \$4,954. Monday's +2.31% and +1.62% were reported as a rally. Against those denominators they are rounding.
- **Oracle is down 57.6% from its 52-week high** and closed at \$146.65 with a \$422bn capitalisation. A mega-cap losing more than half its value inside a year, in the middle of the capital-expenditure cycle it was supposed to lead, is a larger fact than any single day's index move.
- **Netflix at \$76.02 has a \$317bn capitalisation and a 52-week range of \$65.08 to \$126.71.** It fell 2.74% on the same day Hedgeye added it to Signal Strength Stocks. Somebody is wrong, and it will be resolved quickly.
- **The 13-week bill did not move.** Not one basis point, on a day the 30-year rose five. Every commentary on Monday framed the session as a yield story; almost none of them will point out that the front end was inert, which is what tells you the Fed was not the driver.
- **Tesla is 1.4% above its 52-week low** at \$339.30, the only member of the Mag7 nearer its low than its high, while carrying a \$1.34tn capitalisation.
- **Brazil cost Hedgeye money last week** — the real fell 2.6% against the dollar and the equity market fell 3.2% — in a week when the dollar was the firm's number-one short. McCullough published the loss rather than the winners. Colombia's peso gained 0.8% and its equity market printed all-time highs. Country selection inside a correct macro call is still where the money is lost.

### 15 Appendix — stock cards

**SNDK · SANDISK**

**\$1,786.85** +8.88%

\$264.6bn cap · 52wk 43.20–2,354.39 · range 1,698.00–1,827.99

Largest single move in the complex. Investor day on 13 August set an 80% non-GAAP gross margin target for fiscal 2030 and disclosed roughly \$94bn of long-term strategic contracts. Still 24.1% below its 52-week high despite the move.

**WDC · WESTERN DIGITAL**

**\$536.01** +5.35%

\$184.8bn cap · 52wk 73.14–799.87 · range 519.07–548.60

Moved with SanDisk on the same memory-bottleneck story. Volume 9.27m against a 9.25m average — the move was not volume-confirmed, which argues it was a repricing rather than accumulation.



**MU · MICRON****\$1,011.75** +4.13%

\$1.143tn cap · 52wk 113.46–1,255.00 · range 995.26–1,036.13

Reclaimed \$1,000. Now a trillion-dollar company on the same DRAM scarcity that is compressing hyperscaler free cash flow. Reports later in the season; the read-across from Home Depot and Walmart this week is nil, which is the point.

**AMAT · APPLIED MATERIALS****\$535.31** +5.55%

\$425.0bn cap · 52wk 154.47–739.67 · range 515.12–539.81

Equipment rather than memory, and it still ran 5.55% — capacity additions are the second-order trade off a shortage with no relief before 2028. Volume 9.6m against a 7.9m average, the cleanest volume confirmation in this group.

**MSFT · MICROSOFT****\$480.35** -3.04%

\$3.567tn cap · 52wk 349.20–553.72 · range 478.41–492.66

Closed 2.4 points off its low after opening at 490.14. The AI capex commitment is fixed and the memory bill inside it is not — that is the whole bear case in one sentence. 13.3% below its 52-week high.

**META · META PLATFORMS****\$568.97** -3.54%

\$1.449tn cap · 52wk 520.26–790.80 · range 564.75–590.24

Worst mega-cap. Trial of 29 state attorneys-general opened Monday on children's data and safety disclosures. Capex guided \$130–145bn against \$784m quarterly free cash flow, buyback frozen a third quarter. 28.1% below its 52-week high.

**ORCL · ORACLE****\$146.65** -2.57%

\$422.4bn cap · 52wk 114.50–345.72 · range 145.50–150.40

Down 57.6% from its 52-week high. The largest de-rating in the US large-cap AI complex and the least discussed. Only 28.1% above its own 52-week low. Whatever the AI capex cycle is rewarding, it is not this.

**NVDA · NVIDIA****\$225.01** -0.07%

\$5.445tn cap · 52wk 164.07–236.54 · range 224.86–227.92

The world's largest company did nothing on a day semis rose 1.64%, in a 3.06-point range. Reported to receive preferential memory supply well below market rates — if so, it is structurally insulated from the cost shock hitting its own customers.

Settled Monday 17 August closes and TradingView market\_cap\_basic. Percentage distances from 52-week extremes are computed from the same capture. No charts by design.

**16 About this edition**

- **Covers** — the settled US cash session of Monday 17 August 2026, the after-hours tape to 18:00 ET, the Globex session to capture, and the full Hedgeye evening publication set. Asian cash markets had not opened; Tokyo and Seoul follow at 08:00–08:30 GMT+8, Hong Kong 09:30, India 12:15.
- **Captured** — a single window of **06:07:22–06:07:25 GMT+8**, 2.6 seconds, well inside the 10-minute standard. TradingView returned 96 of 96 instruments in 0.7 seconds. Yahoo Finance, the intended second source, returned 0 of 62 and aborted on its circuit breaker after five consecutive HTTP 429 responses; this run is therefore **TradingView-single-sourced** on price. Divergences and the substitute cross-checks performed instead are reconciled in section 18.
- **Settled vs live** — cash equities, sector ETFs, credit ETFs and single stocks are Monday's **settled** closes. Index futures, Treasury yields, FX, metals, energy, VIX, MOVE and crypto are **live** at 06:07 GMT+8. Asian and European index levels are **previous closes** and are labelled as such wherever they appear.
- **Hedgeye edition** — **FULL HEDGEYE EDITION**; the authenticated feed was reached without incident. The live risk-range set is the Early Look of **Monday 17 August, 07:42 EDT (19:42 GMT+8)**, written by **Keith McCullough**, and it is superseded by tonight's edition at roughly 19:40 GMT+8. Also read: The Macro Show summary notes (22:04 GMT+8), ETF Pro Plus update (22:48), Signal Strength Stocks (00:12 GMT+8 Tuesday), the Portfolio Solutions daily ETF re-rank, and the Early Look of Friday 14 August for the band-movement comparison in section 4.
- **Quad path** — **3 → 1 → 2, unchanged** from Friday. No Quad shift to flag this morning. The material Hedgeye change overnight is positioning, not regime: net equity exposure cut to four longs and three shorts, and silver upgraded from neutral to bullish TREND.
- **Not available** — Yahoo Finance (rate-limited); IGTV, which carries a published risk range but was not in the capture set; consensus estimates for the week ahead; and any primary DRAM price series.

**17 Sources**

**Prices.** TradingView bulk scanner, one call, 96 of 96 instruments, 06:07:22–06:07:23 GMT+8 — close, change, open, high, low, volume, 52-week extremes, 10-day average volume, market capitalisation and pre/post-market prints. Yahoo Finance was queried concurrently 06:07:22–06:07:25 and returned nothing, aborting on its 429 circuit breaker. Treasury yields from TVC:US02Y, US05Y, US10Y, US30Y and US03MY; metals on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD) and energy on continuous contracts (NYMEX:CL1!, NYMEX:NG1!, NYMEX:BZ1!, NYMEX:RB1!).

**Hedgeye.** The authenticated app.hedgeye.com feed, read 06:10–06:35 GMT+8: Early Look of 17 August (“Quad Shift Breakouts & ATHs”) and of 14 August (“Quad Shift = ATHs”), both by Keith McCullough; The Macro Show summary notes and replay for 17 August; ETF Pro Plus update; Signal Strength Stocks; Portfolio Solutions daily ETF re-rank.

**Macro and policy.** US Census Bureau advance monthly retail trade report for July, released 14 August, for the -0.6% print, the \$763.6bn level and the component detail; consensus of +0.1% and the historical comparison via CNN Business, Trading Economics and TD Economics. Week-ahead calendar via Kalkine, Yahoo Finance and Zacks.

**Session narrative and single stocks.** CNBC's 17 August market blog for the session close and the US–Iran memorandum expiry; Yahoo Finance's live blog for the 30-year yield and the June 2007 comparison; Benzinga, TradingKey, 24/7 Wall St., Motley Fool and Yahoo Finance for Meta, Microsoft, SanDisk, Western Digital, Micron and Applied Materials; Zacks for Friday's closing levels used as the prior-close cross-check.

**Commodities, geopolitics and AI.** Reuters and CBS News on the Strait of Hormuz and tanker attacks; the Congressional Research Service for the strait's share of seaborne crude and LNG; J.P. Morgan Global Research, Tom's Hardware, Futurum and Goldman Sachs projections (as reported) for hyperscaler capital expenditure and the memory share of it.

## 18 Data-confidence

### CROSS-CHECKS PASSED

- **Cash index arithmetic is self-consistent on all five equity gauges.** S&P 500: 7,745.06 close + 40.70 change = **7,785.76** prior close, and  $-40.70 / 7,785.76 = -0.5227\%$ , matching the reported  $-0.52\%$ . Nasdaq Composite:  $26,644.91 + 84.25 = \mathbf{26,729.16}$ ,  $-0.3152\%$ . Dow:  $53,459.78 + 272.63 = \mathbf{53,732.41}$ ,  $-0.5074\%$ . Russell 2000:  $3,057.54 + 10.88 = 3,068.42$ . SOX:  $12,620.99 - 203.94 = 12,417.05$ .
- **Those three prior closes were independently corroborated, which substitutes for the failed second price source.** Zacks' 17 August recap of the Friday session published closes of 7,785.76, 26,729.16 and 53,732.41 — identical to the prior closes implied by TradingView's Monday change figures, to the cent. Separately CNBC reported Monday's session as Dow  $-0.5\%$ , S&P  $-0.5\%$ , Nasdaq  $-0.3\%$ , matching the captured  $-0.51\%$ ,  $-0.52\%$  and  $-0.32\%$ . Two independent narrative sources agreeing with the captured arithmetic is weaker than a genuine tick-level second feed, but it is not nothing.
- **Every futures row was checked against its prior settle.** ES 7,768.75 ( $-36.25$ , prior settle 7,805.00); NQ 30,096.00 ( $-45.75$ , prior 30,141.75); YM 53,544 ( $-263$ , prior 53,807); RTY 3,064.90 ( $-10.00$ , prior 3,074.90). All four sit below cash-implied fair value in the same direction and by a consistent magnitude, so no single contract is mispriced in the capture.
- **Capture reconciliation counts, verbatim from the script:** 0 matched within 5bp, 0 minor, 0 divergent, **57 pairs single-sourced**. Every pair is single-sourced because Yahoo returned nothing; there is consequently no cross-source divergence to resolve, and equally no cross-source confirmation. That is a materially weaker footing than a normal run and is the single biggest caveat in this brief.
- **The spot-versus-futures trap was checked and avoided on all three metals.** Measured on the series Hedgeye names, gold sits at **75.8%** of its band; measured on the December future it would read **96.7%** — a 20.9-point error that would have changed the entire read from mid-band to about-to-break-out. Copper: 18.0% on spot against 33.1% on futures. Silver: 62.4% against 70.5%. The gold basis alone is 58.44 points, or 1.32%.
- **The 2-year yield was captured directly** at 4.182% from TVC:US02Y rather than inferred from Hedgeye's own 10s2s commentary, so the 54.4bp curve figure in sections 1 and 3 is independent of the Hedgeye narrative it is used to assess.
- **Band-movement comparison is genuine, not asserted.** Friday's Early Look was retrieved in full and all sixteen ranges compared line by line; the silver signal change and the S&P band compression from 255 points to 150 are computed from the two published sets, not inferred.

### KNOWN CONFLICTS AND WEAK MARKS

- **Meta and Microsoft day-change figures differ by source.** This brief prints TradingView's  $-3.54\%$  for Meta and  $-3.04\%$  for Microsoft. TradingKey reports  $-3.63\%$  and  $-3.17\%$ ; Benzinga and Motley Fool describe “about 4%” and “about 3%”. The gaps imply prior closes differing by roughly 0.5 and 0.8 points respectively, most likely consolidated-tape versus primary-listing closes. The direction and order of magnitude are not in dispute; the second decimal is.
- **Hedgeye's copper call and the copper settle do not agree, and the brief prints both.** The Early Look states copper was “ripping all-time highs” on Monday morning. At capture, spot copper is **down** 0.06% at 6.5628, 3.6% below its 52-week high of 6.8047, at 18.0% of its band; copper futures closed  $+0.05\%$  having traded as high as 6.7415 against a 52-week high of 6.8665. The most likely reconciliation is a genuine pre-market spike that faded through the session, but no intraday tick series was captured to prove it. Treat the ATH claim as accurate at the time of writing and stale by the close.
- **DRAM price inflation is quoted between roughly 400% and 700% across sources** and this brief refuses to pick one. J.P. Morgan-sourced reporting puts it above 400% from the start of 2024 to end-2026; reporting on Meta's cost base cites nearly 700%. Different base dates, contract types and product mixes would each explain part of the gap. No primary DRAM series was captured. Direction certain, magnitude unverified, and section 13 says so on its face.
- **The Macro Show detail is Hedgeye's own AI-generated summary**, which carries an explicit “enhanced by AI and may contain errors” disclosure. The 8-longs-to-4-longs/3-shorts change, the  $+75\text{bp}$  curve target and the country signals all come from it. Nothing from that document is presented as a verbatim quotation anywhere in this brief; the quotations in section 4 are taken only from the Early Looks, which are written text.
- **Two intraday marks are uncorroborated.** The 30-year's “highest since June 2007” characterisation is CNBC's, not computed here — the capture only proves 5.318% is a 52-week high. The reported 155% year-on-year rise in Korean semiconductor exports is single-sourced through market commentary rather than taken from the Korean trade ministry release.
- **Market capitalisations are TradingView's market\_cap\_basic**, which is shares outstanding times price and will differ from float-adjusted index weights by low single-digit percentages for names with large insider or treasury holdings. The \$23.27tn Mag7 aggregate should be treated as accurate to about  $\pm 1\%$ , not to the stated four significant figures.
- **The 13-week bill shows a change of  $+0.000003$  percentage points** — arithmetically non-zero, practically zero. It is printed as flat. Its open of 3.808% against a close of 3.790% means it fell 1.8bp intraday while ending unchanged against Friday, which is a real intraday move being reported as stillness.

### KNOWN GAPS

- **Yahoo Finance was unavailable for the entire run** — 0 of 62 instruments, aborted after five consecutive HTTP 429s. The cost is not a missing number but a missing *check*: no independent tick-level confirmation exists for any of the 57 price pairs in this brief. Multi-day daily bars for week-on-week context were also lost, so no weekly change figures are printed anywhere.

- **IGV was not captured** despite carrying a published Hedgeye risk range of 99.00–108.00, so its position-in-band cell in section 4 is blank rather than estimated. Hedgeye is long software and cut this ceiling by 2 points overnight, so the omission touches a live position.
- **Consensus figures for the week ahead were not captured**, so section 10 prints no expectations for Home Depot, Target, Lowe's, TJX, Walmart, the Philadelphia Fed index, jobless claims or the August PMIs. July retail sales is the only release in this brief carrying both actual and consensus.
- **Earnings timings are from secondary calendars** (Zacks, Yahoo Finance, Kalkine) and were not confirmed against exchange filings this morning. They are marked **unconfirmed** in section 8.
- **No intraday tick or minute data was captured for any instrument**, only session open/high/low/close. Statements about *when* within the session something happened — the afternoon reversal on the Iran memorandum expiry, the copper spike and fade — rest on reported narrative, not on captured data.
- **Asian and European index levels are previous closes only**. No Asian cash market was open at capture and none will be for another two hours; the levels in section 12 are Monday's closes and are labelled as such.
- **Absence of a Hedgeye position change is not evidence that there was none**. This brief read the Early Look, The Macro Show notes, the ETF Pro Plus update, Signal Strength Stocks and the ETF re-rank. Real-Time Alerts, the MOMO Tracker, Chart of the Day, Crypto Quant and Capital Allocation Pro were not individually opened this morning. If a position changed in one of those and nowhere else, this brief would not know, and its silence should not be read as confirmation of no change.

#### TIMING & UNVERIFIED

- **The capture window was 06:07:22–06:07:25 GMT+8 on Tuesday 18 August 2026**, a spread of 2.6 seconds. No row in this brief was topped up later, so no row carries its own separate capture time.
- **Globex reopened at 06:00 GMT+8, seven minutes before capture**. The four index futures therefore carry Monday's full session with only the first minutes of the new one on top; their volumes are Monday's, not Tuesday's, which is why they read 14–16% below their 10-day averages rather than near zero. Expect these levels to move materially before Tokyo opens.
- **Every Hedgeye risk range in section 4 is superseded tonight**, at roughly 19:40 GMT+8, when the Tuesday Early Look publishes. The bands printed here are Monday's and will be approximately twelve hours old by the time most readers act on them. The Macro Show follows at about 22:00 GMT+8.
- **The gap between capture and the Asian open is the largest source of drift in this document**. Tokyo and Seoul open at 08:00–08:30 GMT+8, roughly two hours after these prices were taken; Hong Kong at 09:30. Crude, FX and crypto have been trading continuously throughout and will not be at these levels.
- **Nothing in this brief has been checked against a second price feed**. Verify live prices before acting on any level in this document. It is information only and not investment advice.